

1 ENGROSSED HOUSE
2 BILL NO. 4003

By: Caldwell (Trey) of the
House

3 and

4 Hall of the Senate

5
6
7 An Act relating to the Tobacco Settlement Endowment
8 Trust; creating the Funding the Future of Oklahoma -
9 TSET Modernization Act; amending 62 O.S. 2021,
10 Section 2302, which relates to the purpose of the
11 Tobacco Settlement Endowment Trust Fund; eliminating
12 reference to the Tobacco Settlement Endowment Trust
13 Fund Board of Directors; expanding duties of the
14 Tobacco Settlement Endowment Trust Fund Board of
15 Investors; amending 62 O.S. 2021, Section 2304, which
16 relates to the Appointments of the Board of Investors
17 and Directors of the Tobacco Settlement Endowment
18 Trust Fund; eliminating reference and appointment
19 process of the Board of Directors; amending 62 O.S.
20 2021, Section 2306, which relates to the duties of
21 the Board of Investors of the Tobacco Settlement
22 Endowment Trust Fund; limiting investment in certain
23 asset type; eliminating certain duties; establishing
24 duty to distribute trust fund earnings under
referenced methodologies; amending 62 O.S. 2021,
Section 2307, which relates to determination of
earnings of the Tobacco Settlement Endowment Trust
Fund; eliminating certain consideration; adding
certain consideration; creating the TSET Legacy
Effort Revolving Fund; placing the fund under the
State Department of Health; establishing revolving
fund characteristics; requiring and limiting
expenditure for certain purpose; providing
expenditure and budgeting procedures; providing for
Legacy Effort Grants; establishing eligibility;
exempting awards from the Oklahoma Central Purchasing
Act; requiring the development and implementation of
certain processes; providing for confidential
treatment of applications and proposals during
certain periods; establishing applicability of the
Oklahoma Open Records Act and the Oklahoma Open

1 Meeting Act under certain conditions; limiting total
2 amount of awards; authorizing the promulgation of
3 rules; repealing 62 O.S. 2021, Sections 2308, 2309,
4 and 2310, which relate to the Board of Directors of
5 the Tobacco Settlement Endowment Trust Fund and the
6 Board's powers and budget; providing for
7 noncodification; providing for codification; and
8 providing a conditional effective date.

8 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

9 SECTION 1. NEW LAW A new section of law not to be
10 codified in the Oklahoma Statutes reads as follows:

11 This act shall be known and may be cited as the "Funding the
12 Future of Oklahoma - TSET Modernization Act".

13 SECTION 2. AMENDATORY 62 O.S. 2021, Section 2302, is
14 amended to read as follows:

15 Section 2302. The purpose of the Tobacco Settlement Endowment
16 Trust Fund Act is to further implement the provisions of Section 40
17 of Article X of the Oklahoma Constitution that:

18 1. Created the Tobacco Settlement Endowment Trust Fund, and the
19 Board of Investors of the Tobacco Settlement Endowment Trust Fund,
20 ~~and the Board of Directors of the Tobacco Settlement Endowment Trust~~
21 ~~Fund;~~

22 2. Directs the apportionment of revenues from settlements with
23 or judgments against tobacco companies between the Tobacco
24 Settlement Endowment Trust Fund and a special fund established for

1 the purpose of receiving tobacco settlement payments not deposited
2 to the trust fund; and

3 3. Authorizes the Board of ~~Directors~~ Investors of the Tobacco
4 Settlement Endowment Trust Fund to ~~expend~~ administer and transfer
5 trust fund earnings for specific purposes.

6 SECTION 3. AMENDATORY 62 O.S. 2021, Section 2304, is
7 amended to read as follows:

8 Section 2304. ~~A.~~ Appointments to the Board of Investors of the
9 Tobacco Settlement Endowment Trust Fund shall be staggered as
10 provided in this section, pursuant to the provisions of Section 40
11 of Article X of the Oklahoma Constitution. The initial staggered
12 terms of office of persons appointed prior to April 10, 2001, or
13 persons appointed to fill the remainder of an initial term of office
14 shall be as follows:

15 1. The term of office of the person appointed by the Speaker of
16 the House of Representatives shall expire June 30, 2001;

17 2. The term of office of the person appointed by the President
18 Pro Tempore of the Senate shall expire June 30, 2002;

19 3. The term of office of the person appointed by the Governor
20 shall expire June 30, 2003; and

21 4. The term of office of the person appointed by the State
22 Auditor and Inspector shall expire June 30, 2004.
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24

1 Thereafter, persons shall be appointed for terms of four (4)
2 years beginning July 1. Any vacancy shall be filled by the
3 appointing authority for the remainder of the unexpired term.

4 ~~B. Appointments to the Board of Directors of the Tobacco~~
5 ~~Settlement Endowment Trust Fund shall be staggered as provided in~~
6 ~~this section, pursuant to the provisions of Section 40 of Article X~~
7 ~~of the Oklahoma Constitution. The initial staggered terms of office~~
8 ~~of persons appointed prior to April 10, 2001, or persons appointed~~
9 ~~to fill the remainder of an initial term of office shall be as~~
10 ~~follows:~~

11 ~~1. The term of office of the person appointed by the Speaker of~~
12 ~~the House of Representatives shall expire June 30, 2001;~~

13 ~~2. The term of office of the person appointed by the President~~
14 ~~Pro Tempore of the Senate shall expire June 30, 2002;~~

15 ~~3. The term of office of the person appointed by the Governor~~
16 ~~shall expire June 30, 2003;~~

17 ~~4. The term of office of the person appointed by the Attorney~~
18 ~~General shall expire June 30, 2004;~~

19 ~~5. The term of office of the person appointed by the State~~
20 ~~Treasurer shall expire June 30, 2005;~~

21 ~~6. The term of office of the person appointed by the State~~
22 ~~Auditor and Inspector shall expire June 30, 2006; and~~

23 ~~7. The term of office of the person appointed by the State~~
24 ~~Superintendent of Public Instruction shall expire June 30, 2007.~~

1 ~~Thereafter, persons shall be appointed for terms of seven (7)~~
2 ~~years beginning July 1. Any vacancy shall be filled by the~~
3 ~~appointing authority for the remainder of the unexpired term.~~

4 SECTION 4. AMENDATORY 62 O.S. 2021, Section 2306, is
5 amended to read as follows:

6 Section 2306. A. The Board of Investors of the Tobacco
7 Settlement Endowment Trust Fund shall discharge their duties as
8 trustees of the Tobacco Settlement Endowment Trust Fund:

9 1. With the care, skill, prudence, and diligence, under the
10 circumstances then prevailing, that a prudent person acting in a
11 like capacity and familiar with such matters would use in the
12 conduct of an enterprise of a like character and with like aims;

13 2. By diversifying the investments in the trust fund so as to
14 minimize the risk of large losses, unless, under the circumstances,
15 it is clearly prudent not to do so; and

16 3. In accordance with the laws, documents, and instruments
17 governing the trust fund.

18 B. The Board of Investors shall retain qualified investment
19 managers to provide for the investment of the monies of the trust
20 fund. The investment managers shall be chosen by a solicitation of
21 proposals on a competitive basis pursuant to standards set by the
22 Board of Investors. The investment managers shall manage those
23 monies of the trust fund allocated to the investment managers in
24 compliance with the overall investment guidelines set by the Board

1 of Investors. The monies of the trust fund allocated to the
2 investment managers shall be managed by the investment managers in
3 accordance with the investment guidelines and other directions of
4 the Board of Investors. The investment managers may sell
5 investments and realize losses if such action is considered
6 advantageous to longer-term return maximization. Because of the
7 total return objective, no distinction shall be made for management
8 and performance evaluation purposes between realized and unrealized
9 capital gains and losses. The Board of Investors may have the State
10 Treasurer manage those monies not specifically allocated to the
11 investment managers.

12 C. The trust fund may be invested in the manner in which a
13 prudent person would invest it and consistent with the manner that
14 state retirement funds are invested, provided that total investment
15 amounts directed toward venture capital opportunities shall not
16 aggregate to an amount greater than ten percent (10%) of the value
17 of the trust at the time of investment.

18 D. The Board of Investors shall select a custodial bank to
19 settle transactions involving the investment of funds in the trust
20 fund and to hold custody of the securities in the trust fund
21 portfolio. The custodian shall be a bank or trust company offering
22 pension fund master trustee and master custodial services. The
23 custodian shall be chosen by a solicitation of proposals on a
24 competitive basis pursuant to standards set by the Board of

1 Investors. The Board of Investors may also select professional
2 investment consultants, auditors, and actuaries to assist the Board
3 of Investors in carrying out its fiduciary responsibilities. All
4 these professionals shall be selected by a solicitation of proposals
5 on a competitive basis pursuant to standards set by the Board of
6 Investors.

7 E. The Board of Investors shall choose the professional
8 custodians and managers of the assets of the trust fund, shall
9 establish investment and fund management guidelines, and shall adopt
10 an investment policy. The selection of investment managers,
11 investment consultants, auditors, and actuaries, and a custodian
12 bank shall be exempt from the provisions of the Oklahoma Central
13 Purchasing Act.

14 F. The Board of Investors shall ~~set aside cash reserves from~~
15 ~~the earnings of the Tobacco Settlement Endowment Trust Fund if~~
16 ~~requested by the Board of Directors of the Tobacco Settlement~~
17 ~~Endowment Trust Fund pursuant to subsection B of Section 10 of this~~
18 ~~act~~ distribute trust fund earnings as required pursuant to
19 subsections E and F of Section 40 of Article X of the Oklahoma
20 Constitution. The additional amount required for distribution
21 necessary to fully fund awards allowed pursuant to the Oklahoma
22 Higher Learning Access Act shall be the amount calculated annually
23 pursuant to subparagraph b of paragraph 1 of Section 34.87 of Title
24 62 of the Oklahoma Statutes.

1 G. The State Treasurer shall provide any necessary staff
2 support to the Board of Investors. The cost of up to two full-time-
3 equivalent employees for the Office of the State Treasurer may be
4 considered as an administrative expense of the trust fund. ~~However,~~
5 ~~the amount provided to the State Treasurer for this purpose shall be~~
6 ~~determined by the Board of Directors of the Tobacco Settlement~~
7 ~~Endowment Trust Fund.~~

8 SECTION 5. AMENDATORY 62 O.S. 2021, Section 2307, is
9 amended to read as follows:

10 Section 2307. A. On or before September 1 of each year, the
11 Board of Investors of the Tobacco Settlement Endowment Trust Fund
12 shall determine the earnings of the trust fund for the previous
13 fiscal year ending June 30. In determining earnings, the Board of
14 Investors shall certify an amount which is prudent under the
15 standard set forth in paragraph C of this section. The earnings so
16 determined and certified by the Board of Investors for each fiscal
17 year shall constitute the earnings of the Tobacco Settlement
18 Endowment Trust Fund for the purposes of Section 40 of Article X of
19 the Oklahoma Constitution.

20 B. "Earnings" consist of dividends and interest, less fees to
21 manage the fund.

22 C. In the administration of the powers to determine earnings,
23 to make and retain investments, and to delegate investment
24 management of institutional funds, the Board of Investors shall

1 exercise ordinary business care and prudence under the facts and
2 circumstances prevailing at the time of the action or decision. In
3 so doing, the Board of Investors shall consider:

4 1. Long- and short-term needs of the trust fund in carrying out
5 its purposes including the funding of awards allowed pursuant to the
6 Oklahoma Higher Learning Access Act;

7 2. ~~The present and anticipated financial requirements for~~
8 ~~programs funded by the Board of Directors of the Tobacco Settlement~~
9 ~~Endowment Trust Fund;~~

10 ~~3.~~ Expected total return on its investments;

11 ~~4.~~ 3. Price level and inflation trends; and

12 ~~5.~~ 4. General economic conditions.

13 SECTION 6. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 1-105d.1 of Title 63, unless
15 there is created a duplication in numbering, reads as follows:

16 A. There is hereby created in the State Treasury a revolving
17 fund for the State Department of Health to be designated the "TSET
18 Legacy Effort Revolving Fund". The fund shall be a continuing fund,
19 not subject to fiscal year limitations, and shall consist of all
20 monies directed to the fund by law. All monies accruing to the
21 credit of said fund are hereby appropriated and may be budgeted and
22 expended by the State Department of Health as provided in subsection
23 B of this section. Expenditures from said fund shall be made upon
24 warrants issued by the State Treasurer against claims filed as

1 prescribed by law with the Director of the Office of Management and
2 Enterprise Services for approval and payment.

3 B. 1. The State Department of Health shall utilize the funds
4 of the TSET Legacy Effort Revolving Fund to fund Legacy Effort
5 Grants.

6 2. Eligibility for Legacy Effort Grants shall be limited to
7 private, nonprofit, and public entities who were receiving a grant
8 award from the Tobacco Settlement Endowment Trust Fund during the
9 2025 calendar year.

10 3. The selection and awarding of grants, whether in the form of
11 professional service contracts or any other funding mechanism
12 developed by the State Department of Health, awarded pursuant to the
13 Legacy Effort Grants program developed under this subsection, shall
14 be exempt from the requirements of the Oklahoma Central Purchasing
15 Act.

16 4. The State Department of Health shall develop competitive
17 processes for awarding Legacy Effort Grants under this subsection.

18 5. The terms of any request for proposals, request for
19 applications, invitations for bid, bid notice, grant proposal, or
20 any other solicitation issued by the State Department of Health to
21 solicit or invite applications, proposals, bids, or responses to
22 obtain funding under the Legacy Effort Grants program developed
23 under this subsection shall be confidential until the date and time
24 at which the solicitation is to be made equally and uniformly known

1 to all prospective applicants and the public, at which point all
2 such documents and information shall be uniformly known to all
3 prospective applicants and the public, and shall be subject to the
4 Oklahoma Open Records Act and Oklahoma Open Meeting Act. Any
5 application, proposal, bid, or any other document to obtain funding
6 in response to any solicitation of the State Department of Health
7 under the Legacy Effort Grants program developed under this
8 subsection shall be confidential until the date and time of award of
9 the grant or contract, at which point all such documents and
10 information shall be subject to the Oklahoma Open Records Act and
11 Oklahoma Open Meeting Act. Any unsolicited application, proposal,
12 bid, or any other document to obtain funding shall not be considered
13 confidential and shall be subject to the Oklahoma Open Records Act
14 and Oklahoma Open Meeting Act at all times.

15 6. The total cost of Legacy Effort Grant awards shall not
16 exceed the monies available in the TSET Legacy Effort Revolving Fund
17 created in subsection A of this section.

18 C. The State Department of Health may promulgate rules as
19 required to implement the provisions of this section.

20 SECTION 7. REPEALER 62 O.S. 2021, Sections 2308, 2309,
21 and 2310, are hereby repealed.

22 SECTION 8. This act shall become effective only upon the
23 adoption by the People of Oklahoma of the State Question created
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1 pursuant to Enrolled HJR 1077 or HJR 1076 of the 2nd Session of the
2 60th Oklahoma Legislature.

3 Passed the House of Representatives the 25th day of March, 2026.

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Presiding Officer of the House
of Representatives

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8 Passed the Senate the ____ day of _____, 2026.

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Presiding Officer of the Senate

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